

Real-World Solutions: The RIO Questionnaire and RIO-Map™ Construction

We have finished covering the relevant theory. Now we are ready to implement a practical framework to develop a retirement income strategy.

At McLean Asset Management, we have developed the RIO Questionnaire and RIO-Map as our practical framework for achieving retirement success. RIO stands for Retirement Income Optimization. This RIO framework effectively guides the decision-making process for our clients. It is worth explaining this process and framework, as it provides a practical approach for answering the very personalized questions related to choosing an appropriate withdrawal rate and asset allocation strategy.

The process starts by taking the RIO Questionnaire. This is done online. There are a lot of questions, but they can be answered quickly based on your instincts and perceptions. The whole questionnaire should take about thirty minutes to complete. At this stage there is no need to refer to any financial statements. That can come later when we further explore your funded ratio (more on this later). It is amazing how much can be learned by just answering questions based on your instincts, views, priorities, and knowledge base. The RIO Questionnaire is not a quest for perfection but a first concrete step to make sure you get moving in the right direction. It provides the information needed to build your road map and to find the relevant tools and tactics to investigate more carefully in order to craft a complete and effective retirement income strategy. Exhibit 8.1 provides screenshots for a sampling of the various components within the RIO Questionnaire.

Exhibit 8.1

A Sampling of Components in the RIO Questionnaire